

Article | 9 July 2026

MANUFACTURING, CONSTRUCTION AND RETAIL THE NETHERLANDS

## Temporary uptick for Dutch chemicals masks ongoing challenges

The Dutch chemical industry has gained a bit of breathing room as the initial closure of the Strait of Hormuz reduced Asian competition and triggered temporary stockpiling. But when trade flows normalise, overcapacity, cheap imports, tariffs and high costs will weigh on output once again



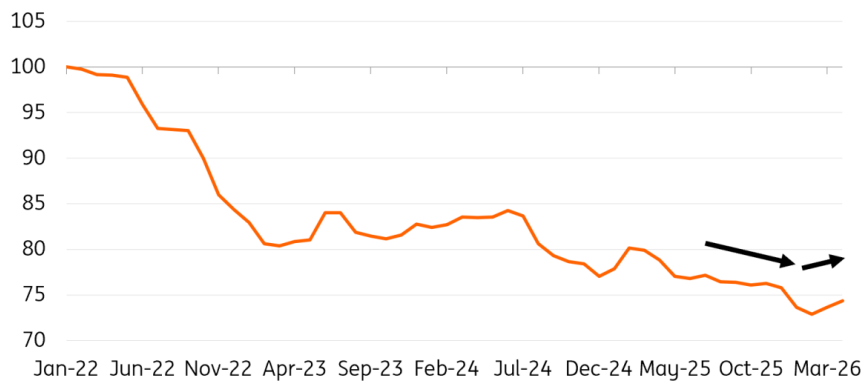
The Dutch chemical industry has seen a welcome period of relief, but output is likely to come under pressure again as trade flows normalise

### Middle East conflict offers temporary relief from import pressure

The outlook for the Dutch chemical industry has improved slightly since the initial closure of the Strait of Hormuz earlier this year. Customers have been building additional inventories as a precaution, while foreign competition has eased. This gives Dutch chemical producers more room for production growth in the second quarter, and probably also the third. The closure has caused feedstock shortages for Asian producers, who rely heavily on oil, gas and derivatives from the Gulf region. This has led to a sharp scaling back of Asian oil refining and petrochemical production, and to lower chemical exports to Europe. Dutch and other European chemical producers are much less dependent on the Gulf region, which accounts for around 20% of their total feedstock needs.

## Chemical production has increased slightly

Monthly production level of the chemical industry, January 2022 = 100\*



Source: Statistics Netherlands, ING Research

\*Seasonally adjusted production, 2-month moving average

## Pressure on chemical output will rise again when Hormuz reopens further

Even so, chemical production is still more than 25% below the peaks reached in late 2017 and January 2022, and the downward trend has not yet been broken for any sustained period. If Hormuz reopens further and stays open, production and transport in the Gulf region and Asia can recover. The downside is that demand for European chemical products will then weaken again due to cheap imports from China. Shipping traffic through the Strait is expected to take several months [to recover](#) to pre-war levels, and even this assumes the very shaky ceasefire between the US and Iran holds. Given recent comments made by US President Donald Trump that the truce is "over", this appears increasingly uncertain.

## Global overcapacity, cheap imports and tariffs will continue to hurt structurally...

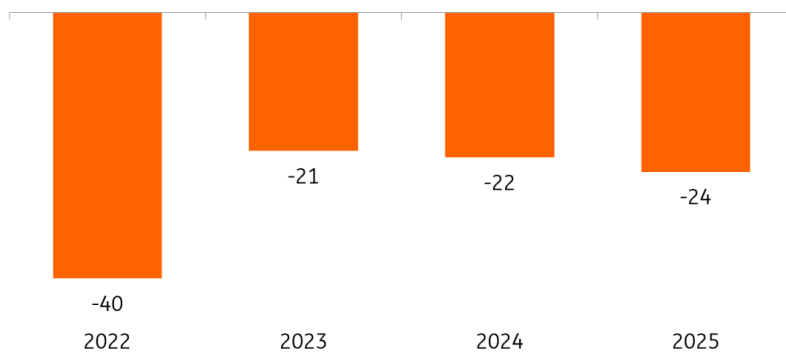
Global petrochemical production capacity has expanded by 65% over the past 15 years and, based on projects already under way, will continue to grow, particularly in China. The resulting overcapacity and inflow of cheap, partly subsidised chemical imports from Asia will keep pressure on European producers. The artificially low value of the Chinese yuan and US import tariffs also add to the strain.

Upstream producers in petrochemicals and basic chemicals are feeling this most acutely. Dow, for example, is cutting more than a fifth of its workforce in the Netherlands, while Evonik is cutting more than 2,000 jobs in Germany. They join a long list of European chemical companies that have already reorganised or closed facilities. The number of chemical plant

closures in Europe increased sixfold between 2022 and 2025, resulting in a combined capacity loss of 37 million tonnes, or 9%, [according to Cefic](#). The European Commission views the current trade relationship with China as unsustainable and is looking at measures, while also recognising Europe's dependence.

### The large EU trade deficit in chemical products with China continues to increase

EU trade balance with China for chemical products (exports - imports), \*€1 billion



Source: Eurostat

### ...as will high energy prices and rising CO<sub>2</sub> costs

The Iran war has pushed up oil and gas prices, although the rise in gas prices has been far smaller than after the outbreak of the war in Ukraine in 2022. A scenario of further de-escalation could see energy prices brought down again, but in Europe they remain structurally higher than in the US and China. Additional LNG supply from the US may provide some relief, but sustainably lower energy costs require substantial European investment in renewable energy, hydrogen infrastructure and carbon storage.

Chemical producers will also need to step up electrification and the use of bio-based feedstocks, with or without government support, partly because of rising CO<sub>2</sub> costs. Brussels may give industry some leeway on ETS rules, for example through a slower phase-out of free emission allowances. Even so, faster greening and a reduction in fossil fuels and feedstocks remain necessary for a future-proof competitive position.

## **European gas price risen and is very high compared to US gas price**

Ratio between gas price in Europe and the US (Dutch TTF vs. Henry Hub)



Source: IMF, ING Research

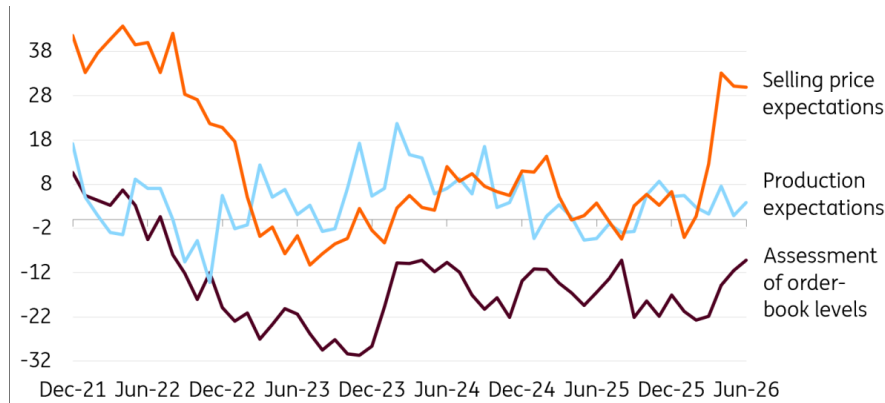
## **Selling prices and orders are rising, but optimism remains limited**

Chemical producers are raising selling prices where needed and where possible. With import pressure temporarily lower and global shortages pushing up prices, they are better able to pass on higher energy and feedstock costs. Order books are therefore temporarily fuller, but expectations for the near term remain subdued, underlining the temporary nature of the rebound.

Differences between companies are also substantial. The further downstream producers are, the more scope they generally have to pass higher costs on to customers. Speciality chemical producers suffer far less from high energy prices and global overcapacity than basic chemical producers, thanks to lower energy intensity and higher value-added margins. Larger basic chemical companies often also use forward or hedge contracts to dampen energy and feedstock price volatility. If the Iran war does not flare up again, these factors could help keep price increases limited.

## Fuller order books, price increases expected

Chemical producers' assessment of order-book levels and expectations for the months ahead\*



Source: European Commission

\*balance of positive and negative assessments

## European Commission wants to make chemicals more competitive and greener

The European Commission wants to give energy-intensive industry a better near-term outlook.

- The [Clean Industrial Deal](#) and its implementation through the chemical industry [action plan](#) aim to enable lower energy prices and encourage the greening of production processes.
- The Carbon Border Adjustment Mechanism, or [CBAM](#), came into force at the start of this year. More chemical products may be covered in the future, but for now protection against carbon-intensive imports only applies to fertilisers, next to cement, aluminium, iron, steel, hydrogen and electricity.
- This means producers of hard-to-abate chemical products other than fertilisers are not yet protected against the [phase-out](#) of free emission allowances under the [ETS](#).

## Dutch government narrows cost gap with neighbouring countries

To level the playing field with other European countries, the Dutch government has already offered support to basic industry. For the next three years, the Indirect Cost Compensation scheme for large electricity consumers has been reintroduced. The scheme dampens high Dutch electricity costs and slightly narrows the [cost gap](#) with neighbouring countries, subject to sustainability conditions. The new government is continuing this policy. It also wants to reduce electricity costs for basic industry further from 2028 and abolish the national CO<sub>2</sub> levy.

This could support some recovery in chemical plant utilisation. Underutilisation has already improved somewhat thanks to the temporary rebound and the removal of the least profitable plants in petrochemicals and basic chemicals from the market.

Read the [extended version of the report in Dutch here](#)

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